

HEDGEYE DAILY DIGEST

September 25, 2026 | GMT+8 | 9 publications covered

*The treetops are shaking. A **\$70B 5-year auction** cleared at **5.033%** — the second-worst tail since 2018 and the first 5-year above **5%** since **2007** — sending the **10yr** to **5.13%** and the **30yr** to **5.43%** as Hedgeye's **#Quad2 "Dollar Up, Rates Up"** call kept paying. The message across the desk is unchanged: stay short duration, credit and rate-sensitive equities, stay long oil, energy, health care and software, and let the signals — not the narrative — drive position changes.*

Timing note: Thursday's US-session research (EDT) lands in the "Yesterday" window in GMT+8; only the afternoon Signal Strength Stocks update falls in "Today".

Today's Publications

SIGNAL STRENGTH STOCKS

Signal Strength Stocks: 52 Stocks (6 Added, 3 Removed)

Signal Strength Stocks | Sep 25, 00:49 GMT+8 (Sep 24, 12:49 PM EDT)

The Signal Strength Stocks list expanded to **52 names** after the latest refresh, with **6 additions** and **3 removals**. Additions skew heavily toward crypto-linked and high-beta tech: **Coinbase (COIN)**, **Robinhood (HOOD)**, **Circle (CRCL)**, **Roblox (RBLX)**, **NVIDIA (NVDA)** and **SanDisk (SNDK)**.

Removed were **Acadia Healthcare (ACHC)** — which had only been added the prior session — **RadNet (RDNT)** and **KXIAY**. The quick in-and-out on ACHC underscores that the list is run on systematic signal breaks rather than conviction holds.

The adds line up with the Macro Show's positioning: Keith is buying dips in **Bitcoin** and **Ethereum** and ETF Pro Plus added **Blockchain Equity (BLOK)** the same day, so the crypto-equity cluster (COIN, HOOD, CRCL) is a consistent expression of the **#Quad2** risk-on-inflation book. **NVDA** returning while **GOOGL** broke TREND (see MOMO Tracker) shows the Mag7 are being treated as individual signals, not a basket.

Yesterday's Publications

EARLY LOOK

Nobody Wants the Paper

Early Look | Sep 24, 19:49 GMT+8 (07:49 AM EDT) | Matthew Cooper

Quad positioning: #Quad2 — Dollar Up, Rates Up; bond yields Bullish TREND across the curve

Matthew Cooper revisits his August "always check the treetops" theme: housing bulls watched the Fed instead of the **5-, 7- and 10-year yields** that actually set mortgage rates. Since then the **2yr** has climbed from **4.16% to 4.88%** in five weeks, and the **2s10s** spread compressed from **+54bps** to a cycle low of **+20bps** on Monday as the debate flipped from cuts to hikes.

Wednesday's sequence: oil rose and bonds sold off; **Composite PMI printed 58.4**, the fastest business growth in more than five years with accelerating hiring; then the **\$70B 5-year auction** cleared at **5.033%**, more than **3bps** through the when-issued level. That's the second-worst 5-year tail since **2018** (behind only **June 2022**) and the first 5-year above 5% since **2007**. The **10yr jumped +17bps to 5.13%**, the **30yr to 5.43%**; 5s, 10s and 30s hit **19-year highs** and 20s a **22-year high**. A Treasury buyback of **\$6B** did little.

The key tell was the curve: **2s10s steepened ~5bps** on hawkish data that should have flattened it. Cooper's point is that a Fed problem is reversible, but weak demand for duration is not — the Fed can't make buyers show up at auctions.

Everything levered prices off that curve. Every housing ticker Hedgeye tracks was **Bearish TREND** entering the week and all fell (**ITB -2.46%**, **XHB -2.33%**). Financials get hit via NII compression and credit-quality discounting. And the AI complex — the market's largest levered borrower — is exposed: **SoftBank** shopping junk debt at roughly a **10%** handle to fund **OpenAI**, **CoreWeave** raising **\$1.1B** for data centers, and hyperscaler off-balance-sheet commitments above **\$3 trillion**.

Investment implication: the signal is unchanged. Hedgeye stays short **TLT, ZROZ, LQD and XLU**, long bond volatility via **PFIX**, and short rate-sensitive names until the **10yr Risk Range of 4.92-5.15%** starts signaling lower highs.

Risk Range™ Signals

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.92-5.15	Bullish
High Yield (HYG)	77.89-78.76	Bearish
Investment Grade Corp Bond ETF (LQD)	103.4-105.2	Bearish
S&P 500 (SPX)	7540-7769	Bullish
NASDAQ Composite (COMPQ)	26309-27425	Bullish
Russell 2000 (RUT)	2814-2900	Bearish
Health Care SPDR (XLV)	164-172	Bullish
iShares Expanded Tech-Software (IGV)	102-110	Bullish
Energy SPDR (XLE)	61.04-65.99	Bullish
Volatility Index (VIX)	14.20-18.25	Bearish
U.S. Dollar Index (USD)	99.92-101.58	Bullish
WTI Crude Oil (WTIC)	87.61-108.68	Bullish
Natural Gas (NATGAS)	2.83-3.11	Bullish
Gold Spot (GOLD)	4206-4350	Bearish
Copper Spot (COPPER)	6.33-6.79	Bullish
Silver Spot (SILVER)	61-65	Bearish

KM'S TOP 3 THINGS

KM's Top 3 Things (Oil/Rates/Factors)

From The Desk | Sep 24, 19:21 GMT+8 (07:21 AM EDT) | Keith McCullough

What: Keith McCullough's daily top three: **Oil**, **Rates** and **Factors**, framed as a continuation of the **#Quad2** bond-yield breakout.

Why: Oil remains **Bullish TRADE and TREND** and on sale; yields are breaking out locally and globally (Aussie 10yr **+12bps** in one morning), with higher-for-longer **CPI** the next catalyst. **USD/JPY**: the yen broke to **Bearish TREND** vs. the dollar.

Who: Longs: **Brent (BNO)**, **XLE**, **Refiners (CRAK)**, **Tankers (BWET)**, **XLV**, **IGV**. Shorts: **TLT**, **ZROZ**, **LQD**, **JOJO**, **HYG**, **XLU**, **PSP**, **Australia (EWA)**, **XLV**, **XLI**, **Russell 2000 (IWM)**.

Key numbers: Brent Alpha Code **9791** (TRADE **\$97**, TREND **\$91**); no long-term resistance for the **UST2yr** until **5.22%**; **IWM -7.5%** from cycle peak; **70%+** of **SPX** stocks in a **-10%** drawdown. Risk Ranges: **SPX 7540-7769**, **UST10Y 4.92-5.15%**.

Takeaway: Expect further curve flattening and a possible **inversion by early 2027**; stay long inflation/energy and short duration, credit, small caps and rate-sensitive sectors.

MOMO TRACKER

MOMO Tracker | Mag7 (-0.8%), GOOGL (-3.8%)=BEARISH, 6/9 RRs=Downside>Upside, Breadth down

Momentum Stock Tracker | Sep 24, 20:18 GMT+8 (08:18 AM EDT) | Christian Drake, Ryan Ricci

What: Daily momentum dashboard for the Mag7 and high-momentum names. Body is chart-based; summary drawn from the headline and related commentary.

Why: Momentum is fading beneath the index surface as rates rise: breadth deteriorated sharply and most Risk Ranges now skew to the downside.

Who: **Alphabet (GOOGL)** flipped to **Bearish** after a tenuous breakout; the **Mag7** basket fell.

Key numbers: Mag7 **-0.8%**; **GOOGL -3.8%**; **6 of 9** Risk Ranges show downside > upside; breadth sharply lower.

Takeaway: Megacap leadership is narrowing. Keith confirmed Hedgeye does **not own GOOGL** and warned it gets harder if revenue growth keeps lagging CapEx growth heading toward **Quad 4**.

MACRO SHOW SUMMARY NOTES

Summary Notes & Replay | Thursday, September 24th, 2026

The Macro Show | Sep 24, 23:44 GMT+8 (11:44 AM EDT) | Keith McCullough, Matt Cooper

What: Summary of the day's Macro Show: oil dip-buying, a global **#Quad2** rates breakout, cash redeployment, and a rotation from **gold** into **Bitcoin**.

Why: With **MOVE** surging and the dollar **Bullish TRADE and TREND**, Keith is re-deploying cash (raised to ~50%, then 44%) into inflation beneficiaries while keeping a heavy two-sided short book. BTC's short-term correlation with the dollar turned positive while gold's stayed negative, so he is swapping gold units for BTC.

Who: Bullish: **BNO**, **XLE**, **CRAK**, **BWET**, **XLV**, **IGV**, **MSOS**, **BTC**, **ETH**, **MSFT**, **PLTR**, **Fastly (FSLY)** added. Bearish: **EWA**, **TLT**, **ZROZ**, **LQD**, **JOJO**, **HYG**, **XLU**, **XLV**, **XLI**, **PSP**, **IWM**, **India**, **Goldman Sachs**, **Morgan Stanley**, **Bank of America**, **Ball Corp (BALL)**.

Key numbers: Brent upside to ~\$112; BTC Alpha Code ~76/71, Risk Range ~\$79,000-\$89,000, position ~1.5%; gold cut below minimum to ~1.5%; **FSLY +14%** after add; **UST2yr** resistance ~5.22%.

Takeaway: The book is aligned with **oil up, rates up, dollar up**: long energy, software, selected crypto and cannabis; short duration, rate-sensitive sectors, small caps, big banks, Australia and India. Gold may be eliminated entirely.

CAPITAL ALLOCATION PRO

Daily Dashboard | Model Portfolios

Capital Allocation Pro | Sep 24, 21:01 GMT+8 (09:01 AM EDT) | Andrew Nanai, David Salem

What: Routine daily dashboard. **No new Model Portfolio changes**; the most recent changes took effect on **Sep 17 closing prices**.

Why: Hubble-driven model portfolios update only when signals warrant; the team follows a "pull vs. push" cadence.

Who: Coverage now includes **BNO (Brent)** and **USO (WTI)** after dropping **MBB** and **PFF**; Trend and Tail levels for **68 ETFs** last refreshed on **Aug 28** closes.

Key numbers: Last Key Callouts video **Sep 10**; September Monthly Commentary posted **Sep 2**.

Takeaway: No action required for CAP followers today; the energy-commodity ticker additions echo the broader oil-long stance.

ETF PRO PLUS

UPDATE: 2 New ETF Pro Changes

ETF Pro Plus | Sep 24, 22:32 GMT+8 (10:32 AM EDT)

What: Real-time ETF Pro Plus update: **ADD long Blockchain Equity (BLOK)**; **REMOVE long Colombia (COLO)**.

Why: BLOK is near the low end of its Risk Range while **Bullish TRADE/TREND**; COLO broke TRADE and/or TREND.

Who: BLOK, COLO.

Key numbers: COLO Risk Range **48.91-52.63** at removal.

Takeaway: Adds to crypto-equity exposure in line with Keith's dip-buying in BTC/ETH and the COIN/HOOD/CRCL Signal Strength adds.

CRYPTO QUANT

CRYPTO QUANT | BTC (-0.9%), ETFs=+\$2.6B WTD, IBM-Swift, USDAI (GPU Financing), Support Below-Resistance Above

Bitcoin Trend Tracker | Sep 24, 20:08 GMT+8 (08:08 AM EDT) | Christian Drake, Josh Steiner, Matthew Cooper

What: Daily crypto quant dashboard (chart-based; summary from headline). Flags an **IBM-Swift** partnership and **USDAI**, a stablecoin tied to GPU financing.

Why: Spot ETF demand remains strong even as price consolidates between support and resistance.

Who: Bitcoin (BTC), US spot BTC ETFs, **IBM**, **Swift**, **USDAI**.

Key numbers: BTC **-0.9%** overnight; ETF inflows **+\$2.6B** week-to-date.

Takeaway: Persistent inflows support Keith's plan to add BTC toward the low end of its **~\$79K-\$89K** range.

OTHER: PORTFOLIO SOLUTIONS

Portfolio Solutions: Daily ETF Re-Rank (9/24/2026) | Top Movers: IBIT (+10), ETHA (+7), MSOS (+5)

Macro / Portfolio Solutions | Sep 24, 22:36 GMT+8 (10:36 AM EDT) | Not in subscription

What: Daily ETF re-rank. **Content not accessible** under the current subscription; summary from title only.

Why: Ranks reflect signal changes across the ETF universe.

Who: IBIT (Bitcoin), ETHA (Ethereum), MSOS (Cannabis).

Key numbers: Rank moves: IBIT +10, ETHA +7, MSOS +5.

Takeaway: The biggest movers are exactly the #Quad2 longs Keith named on the show — crypto and cannabis.